

WCVS U.S. EQUITY VALUATION REPORT

Report Date: May 6, 2026 | S&P 500 Reference: 7,201

COMPOSITE VALUATION SCORE

WCVS Score: 1.2 / 5.0 **Rating: SIGNIFICANTLY OVERVALUED** The U.S. equity market remains at extreme historical premiums. The slight pullback in the S&P 500 from recent highs has done little to correct the fundamental overvaluation embedded across all major metrics.

CATEGORY SCORE BREAKDOWN

Category	Current Value	Historical Mean	Percentile	Score	Weight
Shiller CAPE	39.3	17.0	98th	1.0	30%
Trailing P/E	25.5	25.3	55th	3.0	20%
Forward P/E	20.9	18.4	68th	2.6	15%
Price-to-Book	5.3x	3.0x	99th	1.0	15%
Market Cap / GDP	226%	100%	99th	1.0	20%

Weighted Composite: 1.2 (Significantly Overvalued)

FORWARD RETURN EXPECTATIONS

Based on CAPE regression analysis and historical mean reversion patterns:

Time Horizon	Expected Annual Return	vs. Historical Average (7-10%)
1 Year	-2% to +3%	Well below average
3 Years	0% to 2%	Well below average
5 Years	0.5% to 2%	Well below average
10 Years	1% to 2%	Significantly below average

TIME HORIZON	EXPECTED ANNUAL RETURN	VS. HISTORICAL AVERAGE (7-10%)
15 Years	1.5% to 3%	Significantly below average

Key Insight: At a CAPE near 39, the implied future annual return over the next decade is approximately **1.5%** — roughly one-fifth of the market's historical average. The only periods with worse starting conditions were the 2000 dot-com bubble and late 2021.

KEY MARKET DRIVERS

What's Driving Extreme Valuations

- AI/Productivity Premium:** Market continues to price in sustained double-digit earnings growth from AI-driven productivity gains, though signs of capex fatigue are emerging
- Concentration Effect:** Mega-cap technology names still trade at 25-30x forward earnings, heavily distorting aggregate index metrics
- Liquidity Residuals:** Despite the Fed's higher-for-longer stance, broad money supply remains structurally elevated relative to pre-2020 trends

Risk Factors

- ****CAPE at 39.3**** — Third-highest sustained reading in 150 years of market history, behind only 2000 (44.2) and late 2021 (~40) - ****Buffett Indicator at 226%**** — Total stock market capitalization exceeds GDP by more than 2-to-1; Warren Buffett's "playing with fire" threshold is 200% - ****Price-to-Book at 5.3x**** — Effectively at record highs; investors paying unprecedented premiums for intangible assets - ****Price-to-Sales at 3.6x**** — Nearly double the long-term median of 1.6x

TACTICAL ASSESSMENT

ASPECT	ASSESSMENT
Overall Stance	Defensive. Risk/reward remains skewed to the downside for broad U.S. equities.
Entry Strategy	Dollar-cost averaging only; lump-sum deployment strongly discouraged at current extremes.
Sector Tilt	Value and small-cap segments remain the only relatively insulated pockets (S&P 600 at ~15x forward P/E vs. S&P 500 at ~21x).
Geographic Tilt	International developed and emerging markets continue to offer substantial valuation discounts versus U.S. large-caps.
Time Horizon	Long-term investors (10+ years) should expect deeply muted real returns; near-term drawdown risk remains elevated.

SUMMARY

The U.S. equity market registers a **WCVS of 1.2** — firmly in "significantly overvalued" territory. With the Shiller CAPE near 39, Price-to-Book at record levels, and total market capitalization more than double GDP, investors face one of the most demanding valuation environments in modern history. The modest pullback from recent S&P 500 highs has not materially improved the risk/reward calculus. Forward return expectations remain substantially below historical norms across every time horizon. Prudent capital allocation continues to favor selectivity, international diversification, and patience for more attractive re-entry points.

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